

You just figured you would open a hedge fund and money would come?

That absolutely was my attitude. When I decided to go “work in the city,” I had no idea what that meant, but I resolved that I would just go and do it. How hard could it be? I figured it couldn’t be that hard, and ultimately it wasn’t that hard. It was the same with starting a hedge fund. I just figured I would do it. It never occurred to me that I wouldn’t be able to raise any money. I didn’t think I needed a lot of money because I had no concept of leverage. I knew I could get 10 times leverage. So if I wanted to trade a \$50 million book, all I would need would be \$5 million. It didn’t occur to me that people wouldn’t want you running money at 10 times leverage. I really was completely naive about the whole thing. I just did it. I set up a hedge fund with no money. I had \$300,000 of my own cash in the fund, and that was it.

What was the name of your hedge fund?

It was LS asset management.

What did the LS stand for?

Now there is an interesting tale. We had a nickname at the time for people who threw money around: Lairy Shag.

Lairy Shag?

It was a market term for a bit of a player. Someone brash. Exactly the wrong image you would want to give investors if you’re asking to manage their money. It worked well, though, because I could always tell people the LS stood for “long/short.”

Sort of like someone who is a shooter.

Yes. We’ll have a go at this; we’ll have a go at that.

Were you able to start trading the fund with just your own \$300,000?

Yes, but it meant that every trade I did would have to be for \$300,000. I couldn’t trade any smaller. I ran the hedge fund out of my kitchen. Morgan Stanley gave me a prime brokerage account for which I am forever grateful. It was one of the best and worst experiences in business I have ever had.